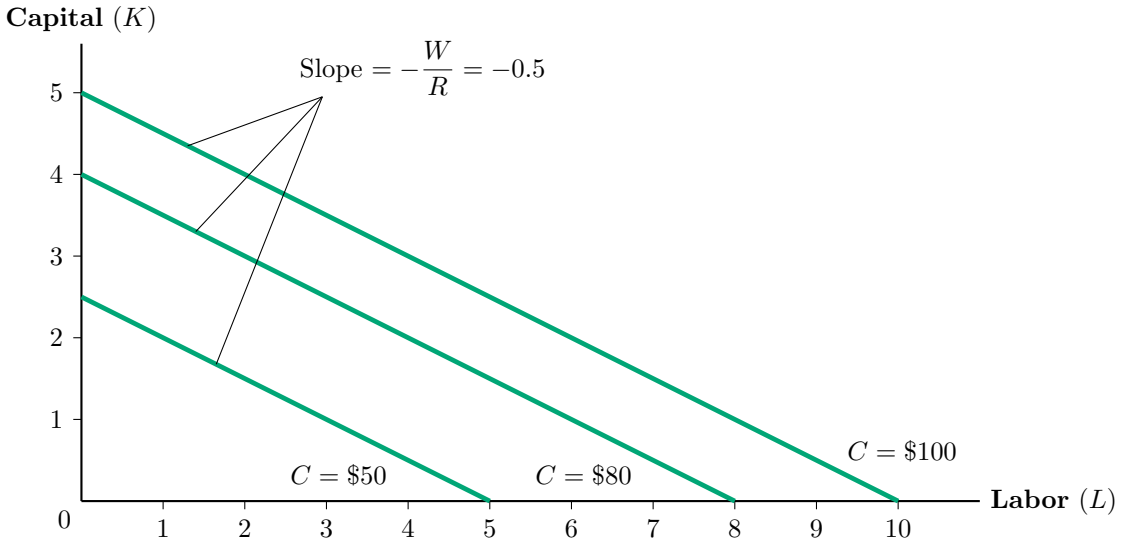
Name:

Class 14 Quiz

PUBPOL 205

October 15, 2026

1. The graph below shows three isocost lines for a firm that hires labor (L) at wage W and rents capital (K) at rental rate R. Is labor more expensive, or is capital more expensive? Why?



Adapted from Goolsbee et al., *Microeconomics*, 3e.

(continued on the next page)

2. Consider a perfectly competitive firm in the short run. On the axes below, draw the firm's marginal cost (MC), average variable cost (AVC), and average total cost (ATC) curves, and sketch out the firm's short-run supply curve. Where is the break-even point? Where is the shutdown point? Label both on your graph.

